SECTION 1 (43 marks)

Dallock

You are the financial controller of Dallock plc (Dallock) and have responsibility for the preparation of Dallock's financial statements for the year ended 30 April 2025. Dallock prepares its financial statements in accordance with IFRS Accounting Standards.

Dallock has entered into several share transactions during the year ended 30 April 2025. Your assistant has made some accounting entries for these transactions. Information regarding the share transactions is provided in Appendix 1.

Dallock has two properties which are measured using the revaluation model. You have received a report from a valuer regarding the valuation of the two properties at 30 April 2025. Information about the properties and extracts from the valuer's report is provided in Appendix 2.

Deferred tax for the year ended 30 April 2025 has not yet been accounted for. Information about the deferred tax balance at 30 April 2024 and other relevant information is in Appendix 3. One of the directors of Dallock has asked you to advise why deferred tax arises.

You have been asked to construct the statement of changes in equity for the year ended 30 April 2025. Relevant information is included in Appendix 4.

The directors of Dallock intend to seek a listing of the company's ordinary shares on the London Stock Exchange and once listed, Dallock will be required to prepare an interim report each year. Historically only 30% of Dallock's revenue arises in the first six months of the accounting year with 35% of its total revenue earned in month seven, November. Therefore, the directors propose that the interim report is prepared for the seven-month period from 1 May to 30 November and is published in March each year. They would also like advice on the basis on which interim reports should be prepared.

QUESTIONS:

Question 1

Advise how the share transactions in Appendix 1 should be accounted for in the year ended 30 April 2025 and prepare, showing all workings, any journal entries necessary.

(12 marks)

Question 2

Advise on the appropriate valuation of each property in Appendix 2 in accordance with IFRS 13 *Fair Value Measurement* and prepare, showing all workings, any journal entries necessary to account for each property in the year ended 30 April 2025.

(10 marks)

Question 3

a) Advise why deferred tax arises; and

b) Prepare, using the information in Appendix 3 and any journal entries prepared in your answer to Question 2, and showing all workings, any journal entries necessary to account for deferred tax for the year ended 30 April 2025.

(8 marks)

Question 4

Construct the statement of changes in equity for the year ended 30 April 2025 in accordance with IAS 1 *Presentation of Financial Statements* using the information in Appendix 4 and the journal entries prepared in your answers to Questions 1, 2 and 3.

This question must be answered in the Excel spreadsheet provided.

(7 marks)

Question 5

Evaluate the directors' proposal for a seven-month period interim report and advise on the basis of preparation of an interim report in accordance with IAS 34 *Interim Financial Reporting*. You are not required to state the contents of an interim report.

(6 marks)

(Total: 43 marks)

Note:

Journal entries should be presented in £'000.

Ignore the current tax effect of any adjustments.

APPENDIX 1 (Section 1)

Information regarding share transactions

- On 1 May 2024 Dallock had 20,000,000 50p ordinary shares in issue.
- In June 2024 Dallock issued 3,000,000 £1 preference shares at £1.20 per share. The shares are irredeemable, and any dividend paid is at the discretion of the directors of Dallock. Your assistant has recorded the proceeds raised on the share issue by debiting bank and crediting a suspense account.
- In September 2024 an investor exercised 240,000 share options to acquire Dallock's 50p ordinary shares. The exercise price was £3.40 per share. Your assistant has debited the proceeds to bank, credited share capital with the £120,000 nominal amount and credited retained earnings with the remaining £696,000. The options, which were issued by Dallock, were not granted as part of a share-based payment arrangement.
- On 30 April 2025 a rights issue was made of one new 50p ordinary share for every four held at that date at a price of £3 per share. The rights issue was taken up by 90% of the ordinary shareholders. Your assistant has recorded the proceeds of this issue as a debit to bank and a credit to suspense account.

APPENDIX 2 (Section 1)

Information regarding properties

Details of Dallock's properties

- Dallock has two properties which it has owned for a number of years – an office building and a warehouse. The properties were last revalued on 30 April 2021.
- Dallock does not make annual transfers from revaluation surplus to retained earnings.
- Information regarding the revaluation on 30 April 2021 and carrying amounts at 30 April 2025 is as follows:

	Office building	Warehouse
	£'000	*£'000*
Value at 30 April 2021	6,300	9,500
Revaluation surplus at 30 April 2021	1,200	2,500
Carrying amount at 30 April 2025	5,460	7,600
Remaining useful life at 30 April 2021	30 years	20 years

- The properties have a nil residual value.

Extracts from valuer's report

- Office building

There are many office buildings near to your office and, based on recent sales of similar buildings, a fair value of £7,100,000 for your office seems reasonable.

There is a severe housing shortage in the area, and it is probable that any buyer would want to convert the office building into housing units as they could obtain a good return on their investment. This is certainly physically possible, and planning permission has been granted by the local authority for other similar properties. On this basis, the estimated value is £7,800,000 although I know you intend to continue to use the property as an office.

- Warehouse

There are no warehouses in the local area which are similar, so I have been unable to determine a market value. I estimate that it would cost £14,000,000 to construct a new warehouse to the same specifications as your warehouse, or £8,960,000 after adjusting for the age and usage of the warehouse.

APPENDIX 3 (Section 1)

Information about deferred tax

- The deferred tax balance at 30 April 2024 comprised:

	Taxable temporary difference £'000	*Deferred tax liability at 25% £'000*
Accelerated capital allowances	3,600	900
Revaluation surplus	3,700	925
Deferred tax liability at 30 April 2024		1,825

- Accelerated capital allowances relate to plant and machinery. Accelerated capital allowances resulted in a taxable temporary difference of £3,300,000 at 30 April 2025.
- At 30 April 2025 deferred tax is measured at 25%.

APPENDIX 4 (Section 1)

Information regarding the statement of changes in equity

- The draft total comprehensive income for the year ended 30 April 2025, before taking account of any adjustments required by Questions 1, 2 and 3, is £3,850,000. All of this was profit for the period. There was no draft other comprehensive income.
- Dallock paid a dividend of £640,000 in January 2025.
- At 1 May 2024 Dallock had the following equity balances:

	£'000
Ordinary share capital	10,000
Share premium	2,850
Retained earnings	13,560
Revaluation surplus	3,700
Total	30,110

Also provided as an Excel resource.

END OF SECTION

SECTION 2 (38 marks)

Weller

You are the financial controller at K-dot-Weller Ltd (Weller), and you are responsible for preparing its consolidated financial statements in accordance with IFRS Accounting Standards.

You need to finalise the consolidated statement of profit or loss (SPL) for the year ended 31 March 2025. The draft consolidated SPL is provided in Appendix 1.

Weller has several existing subsidiaries. During the year ended 31 March 2025, Weller acquired additional shares in an existing subsidiary, Doe-Source Ltd (Doe). Details of the investment in Doe and transactions between Weller and Doe are provided in Appendix 2. No consolidation adjustments have been prepared in relation to Doe, but the other subsidiaries have been consolidated correctly and are included in the draft consolidated SPL in Appendix 1.

The directors of Doe are considering entering into a joint venture in the next financial year by purchasing shares in a newly established company. They have asked you to advise how Doe could account for the joint venture. Doe does not have any subsidiaries or associates and would not be entitled to any contractual cash flows from the investment. Doe plans to regularly trade with the joint venture.

QUESTIONS:

Question 6

Prepare, using the information in Appendix 2 and showing all workings, the consolidation journal entries necessary for the Weller group for the year ended 31 March 2025. You do not need to include the final step.

(24 marks)

Question 7

Construct, using the information in Appendix 1 and your answer to Question 6, the Weller consolidated statement of profit or loss for the year ended 31 March 2025.

This question must be answered in the Excel spreadsheet provided.

(5 marks)

Question 8

Advise how Doe could account for the joint venture.

You do not need to refer to the Weller consolidated financial statements nor include the disclosure requirements.

(9 marks)

(Total: 38 marks)

Note:

Journal entries should be presented in £'000.

Ignore the tax effects of any adjustments.

APPENDIX 1 (Section 2)

Draft statement of profit or loss for Weller group for year ended 31 March 2025

	Weller group (excluding Doe Ltd) £'000	*Doe Ltd £'000*
Revenue	32,090	10,280
Cost of sales	(17,271)	(7,878)
Gross profit	14,819	2,402
Finance income	200	-
Distribution costs	(1,244)	(673)
Administrative expenses	(3,650)	(1,109)
Finance costs	(100)	(65)
Profit before tax	10,025	555
Income tax expense	(1,782)	(305)
Profit for the year	8,243	250
Profit attributable to:		
Owners of the parent	8,211	
Non-controlling interests	32	
	8,243	

Also provided as an Excel resource.

APPENDIX 2 (Section 2)

Details of acquisition of Doe and subsequent transactions

Acquisition details

- Doe has share capital of 100,000 £1 ordinary shares. The only reserve is retained earnings.
- Weller acquired its shares in Doe in stages. Details of the number of shares acquired, consideration paid, and the retained earnings of Doe at each purchase date are as follows:

Date	*No. of shares acquired*	*Cash consideration £'000*	*Retained earnings £'000*
1 April 2020	10,000	250	100
31 March 2024	45,000	750	450
31 March 2025	20,000	300	600

- The fair value of the original investment of 10,000 shares was determined to be £275,000 at 31 March 2024.
- All changes in the fair value of the investment in Doe have been correctly recorded in Weller's individual financial statements.
- At 31 March 2024, the only difference between the carrying amount and the fair value of Doe's net assets was in respect of a bond as follows:

	Carrying amount £'000	*Fair value £'000*
Financial liability – bond	1,000	1,100

- Weller group measures non-controlling interests at acquisition at the proportionate share of net assets.

Subsequent transactions

- The bond is measured using the amortised cost method and had an effective interest rate of 5% per annum in the year ended 31 March 2024. The effective interest rate in the year ended 31 March 2025 is deemed to be 4%. A finance cost of £50,000 in respect of the bond has been recognised in the year ended 31 March 2025.
- During the year ended 31 March 2025, Doe made sales to Weller of £500,000 at a margin of 20%. Half of the items remained in Weller's inventories at 31 March 2025. Weller had paid all amounts owed to Doe by the year end.
- Goodwill is not considered to be impaired.
- Doe made a profit for the year ended 31 March 2025 of £250,000.

- During the year ended 31 March 2025, Doe paid a dividend of £120,000 to shareholders. Weller recorded its share of the dividend received in finance income.

END OF SECTION

SECTION 3 (19 marks)

Lion

LionRoar Cars plc (Lion) is a car manufacturing company that prepares an annual integrated report. The board of Lion has made a strategic decision to include sustainability-related financial disclosures prepared in accordance with IFRS Sustainability Disclosure Standards in its 2025 annual report whilst continuing to prepare a separate integrated report, which is the approach taken by several of its competitors.

You are the reporting accountant at Lion, and you assist in the preparation of the annual and integrated reports. You have received an email from the finance director, who is a CA, who would like to understand whether information included in the integrated report would also meet the requirements of the IFRS Sustainability Disclosure Standards. An extract from her email is provided in Appendix 1.

The finance director has specifically asked you to review draft wording for the integrated report around greenhouse gas emissions to determine if it meets the requirements of IFRS S2 *Climate-related Disclosures*. The draft wording has been provided in Appendix 2 and an extract from IFRS S2 has been provided in Appendix 3.

QUESTIONS:

Question 9

Explain:

- the purpose of integrated reporting; and
- how an integrated report incorporates sustainability matters.

(4 marks)

Question 10

Advise, with reference to the ICAS Code of Ethics, of any ethical issues that arise from the finance director's email provided in Appendix 1. You do not need to provide any actions.

(4 marks)

Question 11

Advise whether the draft disclosure in Appendix 2 meets the requirements of the IFRS S2 *Climate-related Disclosures* extract in Appendix 3. You should refer to:

- quantitative and qualitative climate-related targets;
- any climate-related targets it is required to meet by law or regulation, including any greenhouse gas emissions targets; and
- requirements (a) to (f)

(11 marks)

(Total: 19 marks)

APPENDIX 1 (Section 3)

Email extract from the finance director

I've been thinking about all the effort needed to prepare an integrated report and would like to avoid spending any more time or money on gathering more information to prepare disclosures in accordance with the IFRS Sustainability Disclosure Standards. I doubt anyone really reads this information anyway; everyone knows the bottom line profit is what people are interested in. We have a limited budget for staff costs and spending more on the resources needed to prepare additional information would mean a smaller bonus for you and for me, which I'm sure neither of us wants. I don't have time to read the IFRS Sustainability Disclosure Standards, but I'm sure we can find a way to report the same information and still look compliant. I know I can trust you to be sensible in our approach to this. Don't let me down.

APPENDIX 2 (Section 3)

Draft extract from the integrated report

Our Commitment to Addressing Climate Change

As part of our sustainability strategy, we have set clear targets to reduce greenhouse gas (GHG) emissions and align our business with a low-carbon economy. These targets reflect our commitment to improving operational efficiency and contributing to global climate action. Below, we provide details of our primary target, how we measure progress, and the frameworks that inform our approach.

Our Primary Target

We aim to achieve the following GHG emissions reduction target:

- **Strategic Target:** A 30% absolute reduction in Scope 1 and 2 carbon dioxide equivalent (CO_2e) emissions by 2030, compared to a 2020 baseline, as we work towards a lower-carbon future.

How We Measure Progress

We use the following metric to track progress:

- **Carbon Intensity Metric:** CO_2e emissions per unit of production. Using a per unit of production metric allows us to measure operational efficiency improvements as production levels change.

Scope of the Target

Our target covers Scope 1 (direct emissions) and Scope 2 (indirect emissions from purchased electricity) greenhouse gas emissions from our manufacturing operations globally.

Timeframes

The target is set to be achieved over the following period:

- **Strategic Target:** 2024–2030

Annual reviews will be conducted to evaluate progress and determine whether adjustments are required.

APPENDIX 3 (Section 3)

IFRS S2 extract

33. An entity shall disclose the quantitative and qualitative climate-related targets it has set to monitor progress towards achieving its strategic goals, and any targets it is required to meet by law or regulation, including any greenhouse gas emissions targets. For each target, the entity shall disclose:

    (a) the metric used to set the target;

    (b) the objective of the target;

    (c) the part of the entity to which the target applies;

    (d) the period over which the target applies;

    (e) the base period from which progress is measured;

    (f) any milestones or interim targets.

END OF ASSESSMENT